Cambridge
O Level

**Cambridge International Examinations**
Cambridge Ordinary Level

**ECONOMICS** **2281/12**

Paper 1 Multiple Choice **May/June 2017**

**45 minutes**

Additional Materials: Multiple Choice Answer Sheet
Soft clean eraser
Soft pencil (type B or HB is recommended)

* 1 9 5 2 9 7 7 1 3 5 *

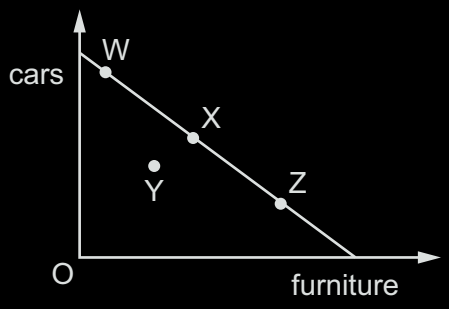
**READ THESE INSTRUCTIONS FIRST**

Write in soft pencil.
Do not use staples, paper clips, glue or correction fluid.
Write your name, Centre number and candidate number on the Answer Sheet in the spaces provided unless this has been done for you.
DO **NOT** WRITE IN ANY BARCODES.

There are **thirty** questions on this paper. Answer **all** questions. For each question there are four possible answers **A**, **B**, **C** and **D**.
Choose the **one** you consider correct and record your choice in **soft pencil** on the separate Answer Sheet.

**Read the instructions on the Answer Sheet very carefully.**

Each correct answer will score one mark. A mark will not be deducted for a wrong answer.
Any rough working should be done in this booklet.




A recession causes a decrease in production in both cars and furniture.

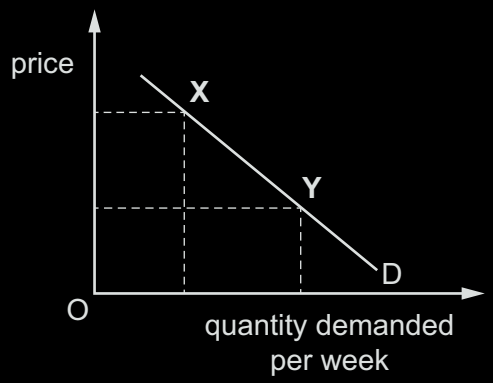
Which movement would represent this change?

**A** X to W **B** X to Y **C** Z to W **D** Z to Y

**4** In response to an increase in price from $5 per kilo to $6 per kilo a chicken farmer increased supply from 400 kilos to 500 kilos per week.

What is the price elasticity of supply?

**A** 0.8 **B** 0.9 **C** 1.2 **D** 1.25




What could cause the movement from point **X** to point **Y**?

**A** a change in tastes

**B** a fall in the price of chocolate

**C** an increase in income

**D** a successful advertising campaign for chocolate

**6** A bee-keeper maintains hives of bees to produce honey. The bees can pollinate neighbours' fruit trees but also give a painful sting to gardeners.

If both of these events occur, how will costs and benefits be affected?

**A** External benefits will fall and social costs will fall.

**B** External costs will rise and social benefits will fall.

**C** Social costs and social benefits will fall.

**D** Social costs and social benefits will rise.

**7** In 2015 there was a significant fall in the world price of petrol (gasoline).

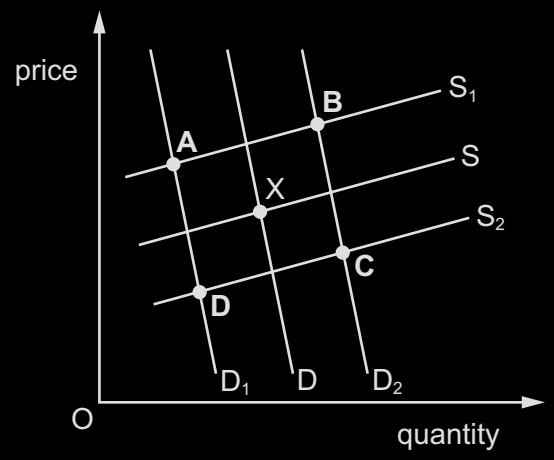
What would **not** have been a cause of the price fall?

**A** the continuing global recovery from the world economic recession

**B** the increasing exploitation of US oil reserves

**C** the re-entry of Iranian producers to the world oil market

**D** the shorter journeys from using the new Suez Canal




**11** In South Africa, the number of skilled workers is relatively low. However, average wages in South Africa are double the average wage in Brazil and Turkey and they are 1.6 times higher than in Malaysia.

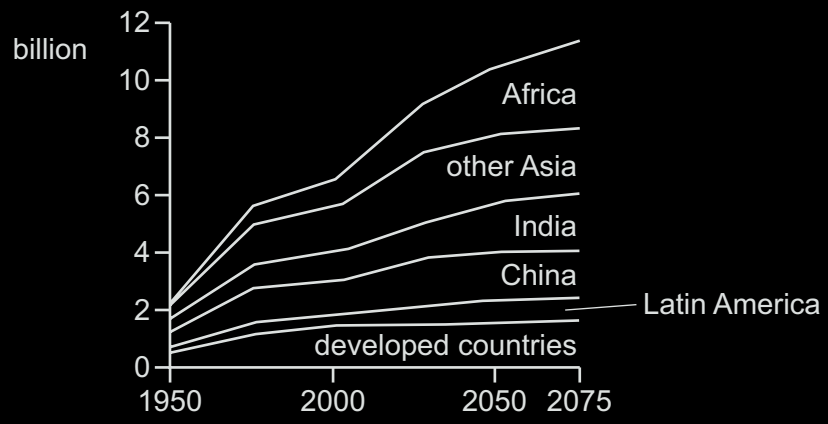
What may be concluded from this information?

**A** Malaysian workers are more skilled than South African workers.

**B** Prices in South Africa are double those in Brazil.

**C** South Africa's labour productivity is low.

**D** South African trade union bargaining power is strong.




Assuming no migration, which situation must exist if the population is to change in the manner shown in the diagram?

**A** birth rate falling and death rate falling

**B** birth rate greater than death rate

**C** death rate greater than birth rate

**D** death rate rising and birth rate falling

**26** The table shows information about four countries.

Which country is likely to be least developed?

| | % of labour force in service industries | life expectancy | GDP per head ($) |
|---|---|---|---|
| **A** | 20 | 49 | 380 |
| **B** | 35 | 49 | 350 |
| **C** | 40 | 53 | 350 |
| **D** | 45 | 63 | 450 |